E051 OpCo Budget Audit Delay Statement

Category INTERNAL

Sent (ET) Friday, September 18, 2026 10:37 AM EDT

Source file RE_ OpCo Budget - Accounting Fees.eml

SHA-256 `fb385c5188f353c68bfc86b6eec93e1251e493bc7c97096b726be310f878b10a`

Attachments

None

From David Berman <dberman@parakeetcommunities.com>

To Zach Schwartz <zach@parakeetcommunities.com>

Cc Austin Berk <austin@parakeetcommunities.com>, Jon Wyss <jon@parakeetcommunities.com>

Sent Fri, 18 Sep 2026 14:37:57 +0000

Subject RE: OpCo Budget - Accounting Fees

2026 audits will kick off interim work in November (depending on the closeouts of the 2025 audit at this point) and we'll probably get an interim bill by December. We're then anticipating 2026 audits being formally signed off by end of April 2027 with final bills for audit being in May and then full bills for tax also being in May.

From: Zach Schwartz <zach@parakeetcommunities.com>
Sent: Friday, September 18, 2026 10:27 AM
To: David Berman <dberman@parakeetcommunities.com>
Cc: Austin Berk <austin@parakeetcommunities.com>; Jon Wyss <jon@parakeetcommunities.com>
Subject: RE: OpCo Budget - Accounting Fees

But 2026 wasn't exactly the same..

When do we excpect to pay the 2026 numbers?

From: David Berman <dberman@parakeetcommunities.com>
Sent: Friday, September 18, 2026 10:13 AM
To: Zach Schwartz <zach@parakeetcommunities.com>
Cc: Austin Berk <austin@parakeetcommunities.com>; Jon Wyss <jon@parakeetcommunities.com>
Subject: RE: OpCo Budget - Accounting Fees

Exactly the same as the screenshot budget below but with CPI increases.

From: Zach Schwartz <zach@parakeetcommunities.com>
Sent: Friday, September 18, 2026 8:58 AM
To: David Berman <dberman@parakeetcommunities.com>
Cc: Austin Berk <austin@parakeetcommunities.com>; Jon Wyss <jon@parakeetcommunities.com>
Subject: RE: OpCo Budget - Accounting Fees

Can you give me a better sense of how to project this out over the next year and moving forward?

From: David Berman <dberman@parakeetcommunities.com>
Sent: Tuesday, September 15, 2026 2:03 PM
To: Zach Schwartz <zach@parakeetcommunities.com>
Cc: Austin Berk <austin@parakeetcommunities.com>; Jon Wyss <jon@parakeetcommunities.com>
Subject: RE: OpCo Budget - Accounting Fees

This is just timing related at this point. We still haven't closed out the 2025 MHC audit as the directive from Austin and Jon has been to delay that one while the Hunter Springs extension is still being negotiated.

Once final bills come in though we're going to be higher than our estimates due to unforeseen additional testing procedures Citrin had to do on a few items that are outside the course of a normal audit scope. For the rest of this year and next, I would still leverage the most recent engagement letters as a baseline for cost.

Tax also came in higher than usual because we had to do a lot of work relating to the 2024 tax returns being incorrect and the teams worked a lot of additional consulting hours in meetings with Jadian and Ernst and Young to correct the issues. Those bills were incurred in 2025 but didn't relate to the current tax period. I'd still use the 2025 Citrin MHC bills as a baseline for 2026 with an assumption that those will be paid in May 2027.

From: Zach Schwartz <zach@parakeetcommunities.com>
Sent: Tuesday, September 15, 2026 1:46 PM
To: David Berman <dberman@parakeetcommunities.com>
Cc: Austin Berk <austin@parakeetcommunities.com>; Jon Wyss <jon@parakeetcommunities.com>
Subject: OpCo Budget - Accounting Fees

DB –

Doing some OpCo budgeting and was curious if you could provide our forecasted accounting fees on a monthly basis for audit and tax purposes.

Last time we visited this you provided the following estimates. Below are those estimates and 1H Actuals that are booked so you can see the variance.

Can you please provide a rationale as to the miss here and what you expect the normalized $ amounts to be?

	BUDGET	ACTUAL
1/1/2026	36,371.3	8,745.0
2/1/2026	36,371.3	2,650.0
3/1/2026	36,371.3	3,975.0
4/1/2026	36,371.3	0.0
5/1/2026	127,594.3	18,815.0
6/1/2026	0.0	27,030.0
7/1/2026	0.0	
8/1/2026	0.0	
9/1/2026	0.0	
10/1/2026	0.0	
11/1/2026	0.0	
12/1/2026	45,633.0	

Thank you,

Zach Schwartz
Parakeet Communities
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zach@parakeetcommunities.com

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